



Low Income Housing Investment Offering

We are raising \$30,000,000 to increase the growth of our Real Estate Development strategy. This offering will generate consistent cash-on-cash returns via low income housing rental revenue while providing social impact through affordable housing.

Projected Returns

Loan Amount	Annual Interest Payment Net to Investor	7 Year Total Net to Investor
\$1,000,000	14%	98%
	\$140,000	\$980,000

Projected Returns

Return of Loan	+	7 Year Total Net to Investor	=	7 Year Total Return to Investor
\$1,000,000		98%		\$1,980,000
		\$980,000		

Our partner is a Real Estate Development Company that has developed a scalable model for acquiring, renovating, and managing Real Estate housing properties across multiple markets. The company has already built a portfolio of approximately 300 properties over the past 4 years, demonstrating their ability to execute on their strategy.



523 Dornoch Dr, St Louis 63137 2825 Westover Rd, Shreveport 71108 1405 Dianne Dr, Jackson 39204

At this stage, Real Estate Development Company has overcome several significant potential hurdles and materially de-risked the business:



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1. Successfully acquired and converted ~300 properties to Real Estate housing, demonstrating ability to source and manage properties at scale
2. Established relationships with HUD offices across multiple markets
3. Built operational infrastructure for property management and tenant screening
4. Developed expertise in navigating Real Estate requirements and inspections
5. Created systematic approach to property identification and renovation

Business Model

- Property Acquisition: Target homes priced \$60,000-\$90,000, typically 30-40% below replacement cost
- Renovation: Full cosmetic renovations (~\$25,000) to meet our standards
- Rental Income: \$1,325/month on average
- Tenant Quality: Pre-screened tenants with low turnover

Example Property Summary

- Property Purchase Price: \$60,000
- Renovation Cost: \$25,000
- Refinance Cost: \$5,000
- Total Cost: \$90,000
- Appraised Value Post Renovation: \$120,000
- Cash Out Refinance: \$90,000 (75% LTV)
- Remaining Cash In Property: \$0
- Rent: \$16,000/year (\$1325/month)
- Cashflow: \$3,500/year after all expenses and debt payments

Where We Invest – High Demand, Undersupplied Markets

Target Areas and Section 8 Waitlist



State	Waitlist	State	Waitlist
Missouri	Closed (3-7 years)	Mississippi	Closed (2 years)
Michigan	Closed (5-8 years)	Georgia	Closed (1-4 years)
Oklahoma	Closed (2-4 years)	Alabama	Closed (1-2 years)
Ohio	Closed (3 years)	Kentucky	Closed (2-4 years)
Louisiana	Closed (2-3 years)	Pennsylvania	Closed (3-8 years)

Target Market

- Undervalued homes with high rent-to-price ratios
- Section 8 waitlists of **2-10 years = guaranteed demand**
- Landlord-friendly regulations
- Proximity to job centers, schools, and transportation
- Benefiting from population growth and corporate investment
- Infrastructure expansion and local economic development

What Closed Lists Mean for the Strategy

- Closed = **structurally undersupplied**, not speculative
- Confirms **verified, long-term rental demand**
- Landlords gain **pricing power and low vacancy**
- Ideal entry point for stable, **high-yield government-backed cash flow**

Our Track Record



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Address	Status	Refinance	Acquisition Date	Purchase Price	Renovation Cost	Appraised Price*	Refinance Amount	Cash In Property Post Refi	Annual Cashflow
820 Elias Ave Saint Louis 63147	In Acquisition	Need to Complete Rehab First	10/15/2025	\$42,000	\$27,000	\$100,000	\$75,000	-\$660	\$5,312
433 Hammond St Pittsburgh 15204	In Rehab	Need to Complete Rehab First	8/1/2025	\$73,000	\$36,500	\$160,000	\$120,000	-\$380	\$5,086
8541 College Ave Saint Louis 63136	In Rehab	Need to Complete Rehab First	8/28/2025	\$52,000	\$27,000	\$120,000	\$90,000	-\$5,088	\$3,711
2740 6th Ave Rock Island 61201	In Rehab	Need to Complete Rehab First	9/17/2025	\$62,000	\$25,000	\$130,000	\$97,500	-\$3,782	\$3,388
2606 Chatsworth Ct Macon 31206	Listed for Rent	Yes	4/17/2025	\$67,000	\$25,000	\$165,000	\$123,750	-\$22,650	\$3,177
1405 Dianne Dr Jackson 39204	Listed for Rent	In Refinance	7/10/2025	\$65,000	\$18,000	\$115,000	\$86,250	\$3,225	\$3,098
2829 Comfort Street Jackson 39213	Tenant Selected	Yes	3/19/2025	\$64,000	\$2,200	\$80,000	\$60,000	\$12,519	\$4,007
3213 Central Ave Pittsburg 15212	Tenant Selected	Yes	5/16/2025	\$89,500	\$17,000	\$150,000	\$112,500	\$5,061	\$4,276
523 Dornoch Dr St Louis 63137	Tenant Selected	In Refinance	5/21/2025	\$70,000	\$20,000	\$101,000	\$75,750	\$20,895	\$6,185
2825 Westover Rd Shreveport 71108	Stabilized With Tenant	Yes	3/19/2025	\$74,000	\$12,500	\$125,000	\$93,750	\$633	\$3,587
3633 W College St Shreveport 71109	Stabilized With Tenant	Yes	3/24/2025	\$47,000	\$24,500	\$111,000	\$77,700	-\$459	\$4,154
200 Stillwood Jackson 39206	Stabilized With Tenant	Yes	4/18/2025	\$50,000	\$20,000	\$100,000	\$75,000	\$1,000	\$5,291
813 SW E Ave Lawton 73501	Stabilized With Tenant	In Refinance	5/8/2025	\$69,500	\$32,000	\$156,000	\$117,000	-\$6,395	\$3,644
Average				\$63,462	\$22,054	\$124,077	\$92,631	\$301	\$4,224

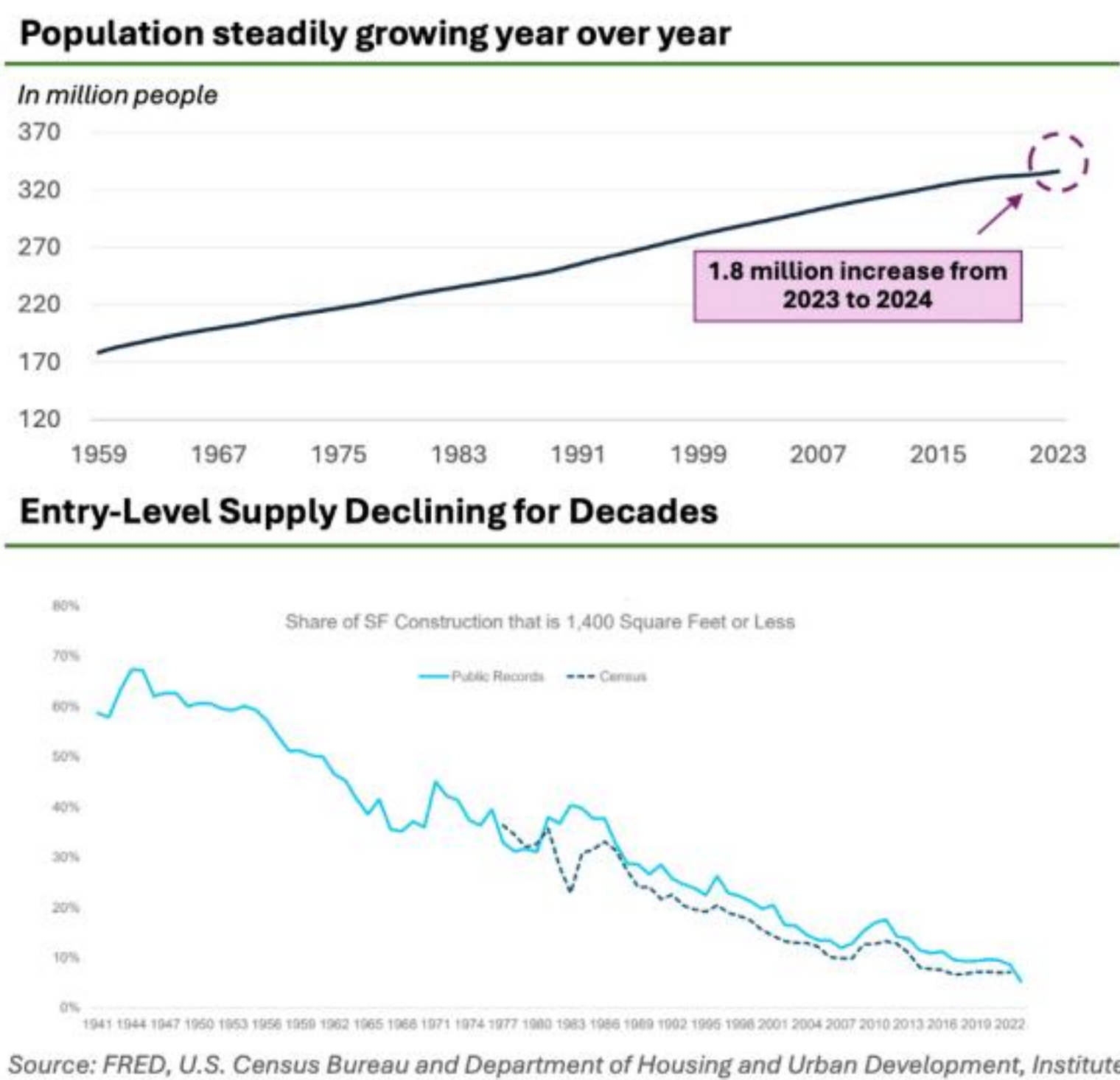


Market Opportunity

The low income housing market presents a compelling opportunity due to several factors:

- 1. Structural Supply Shortage: The US faces a shortage of 4.4-7.3 million affordable housing units
- 2. Recession Resistance: Low income housing provides stability through economic cycles
- 3. Inflation Protection: Annual rent adjustments protect against inflation

For the last 15 years, the US have struggled to keep up new housing supply with the fast population growth



Myths, Preconceptions and Risk Mitigation with Low Income Housing

Myth	Truth & Risk Mitigation
1 Section 8 tenants are risky	Section 8 tenants are just normal people with low-income. We provide a thorough background check, criminal record, eviction record and credit check on each tenant, and a quarterly inspection. They lose the voucher if not compliant.
2 Section 8 rents are low	In most markets, excluding appreciated big cities such as Miami, Los Angeles, the Section 8 rents are 10-30% higher than regular market rate
3 Section 8 tenants are hard to evict	Standard leases apply. Section 8 tenants are treated like regular tenants and follow local and federal regulations and can be evicted normally
4 Section 8 tenants don't pay for security deposit	The government doesn't pay for the security deposit, but landlords are allowed to charge up to 1 month of rent in security deposit
5 The budget could be cut	This bi-partisan program exists since 1974 and assists millions of families, with millions on waitlists waiting for housing. If the federal government decides to cut the budget, it will direct the budget for the states to manage, which the ones we invest have over billion-dollar surplus in housing budget



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While we have demonstrated a viable model, several risks should be considered:

1. Political Risk: While unlikely given the program's 50-year history and bipartisan support, changes to low income housing policy could impact returns
2. Property Management: Maintaining quality across a growing portfolio requires strong operational execution
3. Interest Rate Risk: Higher rates could impact property acquisition and refinancing strategies
4. Geographic Concentration: Portfolio currently concentrated in specific markets, though diversification is planned

Team

Our Development Company's management team brings complementary expertise across real estate development, operations, and finance:

- Deep experience in property development
- Track record of managing low income properties (300+ units)
- Established relationships with local HUD offices and contractors

Returns Projection

The investment offers the following yield: **14% annual yield, paid quarterly**

Management Fee: None

Exit Strategy

Investors have the option to exit their loan after Year 3, subject to a six-month notice period. The first option is to sell the underlying portfolio and the second option is for Flux Capital to source a replacement investor. This notice period allows for either the sale to be facilitated or for Flux Capital to secure a replacement investor and ensure a smooth transition. The exit process is structured to provide investors with flexibility while maintaining operational stability for the portfolio.



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